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Airbus MRTT: phasing out Boeing in Europe

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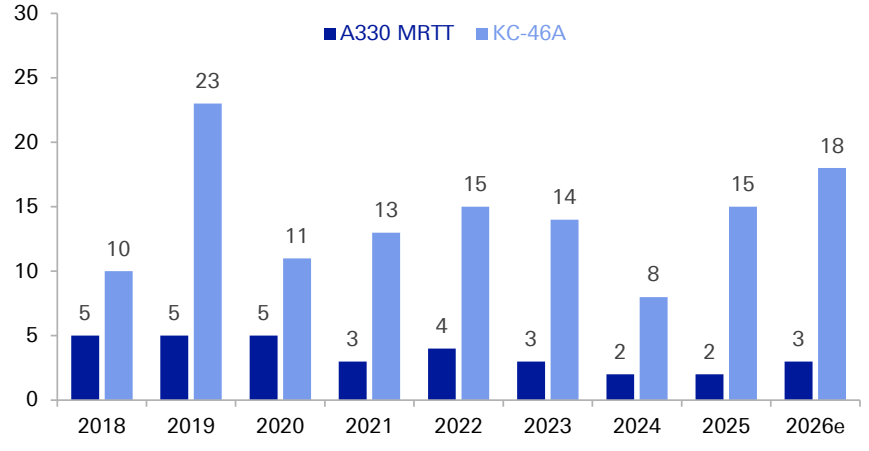
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Italy's MRTT Order: Airbus Cementing Grip on Aerial Refueling

Airbus is firmly cementing its grip on the international aerial refueling market, a trend underscored by Italy's recent €1.4 billion order for six A330 Multi Role Tanker Transports (MRTT) and Airbus's subsequent strategic production ramp-up. Italy's decisive pivot away from Boeing's KC-46 Pegasus highlights a critical competitive divergence in the defense aerospace sector. Despite Rome initially favoring the KC-46 to maintain fleet commonality with its existing KC-767s, the Italian defense ministry shelved the Boeing procurement due to persistent delivery delays, cost concerns, and revised operational requirements. The MRTT's proven operational maturity and superior payload capabilities have effectively de-risked European defense procurement, leaving the KC-46 increasingly isolated and heavily reliant on its U.S. Air Force baseline program. To digest an expanding pipeline driven by escalating NATO defense budgets, Airbus announced the establishment of a second conversion facility in Seville, Spain. Slated to be operational by late 2027, this new line, according to Janes, will scale annual conversion throughput by 40%, from five to seven airframes. Though this capacity expansion Airbus might be able to accelerate MRTT deliveries, a platform considered margin accretive for the Airbus Defence and Space division.

Figure 1: Annual deliveries for the A330 MRTT and the KC-46 Pegasus



Source : Cirium, Deutsche Bank

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Table Of Contents

Company news of interest....3
Airbus (Buy, PT: €226)....3
BAE Systems (Hold, PT: 2,140p)....6
Dassault Aviation (Hold, PT: €330)....7
Exosens (Hold, PT: €60)....8
Fincantieri (Buy, PT: €18.5)....8
Hensoldt (Buy, PT: €101)....9
Leonardo (Buy, PT: €70)....10
Rolls-Royce (Buy, PT: 1,325p)....10
Safran (Buy, PT: €365)....11
Thales (Hold, PT: €283)....12
TKMS (Buy, PT: €110)....13

From our stable....15
Our recent reports....15
Sector/thematic reports....16

EPS estimate revisions....17
EPS estimate revisions for European A&D stocks....17
EPS estimate revisions for US A&D stocks....17

A&D stock trading multiples....18
Europe A&D trading multiples....18
US A&D trading multiples....20

A&D share price performance....21

A&D sector valuation....22
Valuation table – listed major European A&D companies....22
Valuation table – listed major US A&D companies....23
Absolute and relative share price performance – European A&D stoc....24
Absolute and relative share price performance – US A&D stocks....25

Company news of interest

Below, we provide important sector news items relevant to our coverage universe. We select these stories and present them by company, along with our views.

Airbus (Buy, PT: €226)

Airbus, Air France found guilty over 2009 Atlantic crash

A French appeals court has found Airbus and Air France guilty of corporate manslaughter over the 2009 Rio-Paris plane crash, overturning a 2023 acquittal. Both companies were ordered to pay the maximum fine of €225,000, a sum dismissed as token by families but significant for corporate reputations. Despite pleas from victims' relatives, both Airbus and Air France plan to appeal to France's highest court, prolonging the 17-year legal battle. The crash, which killed 228 people, has exposed bitter divisions between the airline and planemaker, with the trial highlighting alleged failures in training and addressing sensor flaws, contrasting with a civil crash report that primarily focused on pilot actions. (Source: Reuters)

Our view: *This is a legal battle, which has no bearing on share price, despite the tragedy associated with a plane crash now going back as far as 2009. The legal battle is likely to continue, with another appeal likely to follow.*

Airbus eyes Canadian collaboration on next-gen rotorcraft

Airbus Helicopters' new CEO, Matthieu Louvot, emphasizes that a joint program is essential for developing a new medium-class military helicopter for European customers, potentially extending cooperation to include Canada. Citing the successful NH Industries NH90 joint venture as a model, Louvot believes European nations cannot afford to duplicate defense budgets for individual weapon systems. Airbus and Leonardo are already collaborating on a European Defence Fund project for next-generation rotorcraft technologies, while NATO members, including Canada, are defining requirements through the Next Generation Rotorcraft Capability (NGRC) project, with industry concept designs due by September 2027. Louvot sees "strong strategic alignment" with Canada and advocates for Ottawa's participation in European-level defense funding to leverage significant EU financing capacity for future defense programs, contrasting it with less financially robust country-by-country funding. Airbus also hints at building an H175M final assembly line in Canada if selected for Ottawa's 80-unit Next Tactical Aviation Capability Set program. (Source: FlightGlobal)

Our view: *This further demonstrates that Airbus Helicopters intends to grow partnerships internationally. In that case, it relies on some local footprint and a network of suppliers in Canada. More broadly speaking, Canada has been drawing more attention, since the country is perceived as departing from US influence in both Aerospace and defence matters. This news, however, is unlikely to change the equity story for now.*

Airbus informs some customers of further A350 delays

Airbus is reportedly facing further delays in A350 deliveries, primarily due to ongoing issues with securing critical fuselage parts from the former Spirit AeroSystems plant in Kinston, North Carolina, which Airbus acquired last year. Industry sources indicate the handover has been hampered by staffing problems,

with some employees returning to Boeing-owned Spirit operations. Additionally, cargo doors for the new A350 Freighter, built by Airbus in Spain, are also experiencing disruptions. Despite these concerns, Airbus maintains that the A350 Freighter's first flight later this year and its first delivery in 2027 remain on track. While Airbus CFO Thomas Toepfer previously noted no negative surprises at Kinston, he highlighted the logistical complexity of supporting the ramp-up with European experts. (Source: Reuters)

Our view: *This sounds negative, but could well be under control, as it falls within the acceptable framework of the Spirit AeroSystems integration. The Kinston factory has been highlighted as a risk factor early on, and there must have been contingencies regarding delivery schedules. Recent discussions with Airbus also highlighted an integration unfolding broadly as planned.*

Airbus to expand MRTT conversion capacity

Airbus Defence and Space plans to open a new conversion facility for its A330 Multi Role Tanker Transport (MRTT) aircraft in Seville, Spain, by the end of 2027. This new facility will complement the existing one in Getafe, increasing the annual conversion capacity from civil to military versions from five to seven aircraft. The Seville site will also conduct Maintenance, Repair, and Overhaul (MRO) work and upgrades for in-service A330 MRTTs. Airbus chose Seville to leverage operational and logistical synergies with its existing A400M and C295 final assembly lines there, and will invest in upgrading infrastructure, implementing advanced processes, and training the local workforce. The Getafe plant will strategically coordinate both centers to meet the high market demand for A330 MRTTs driven by increased global defense investment. (Source: Janes)

Our view: *This is positive news for Airbus Defence & Space, as the increased capacity may help the company raise its delivery rate of MRTTs, a platform considered margin accretive for the division.*

Germany touts pan-German space command amid European push to supplant US tech

German Defense Minister Boris Pistorius is spearheading plans for a European military space command, urging Austria, Switzerland, and Luxembourg to co-design the initiative rather than simply joining pre-established structures. This push follows Germany's €35 billion military space investment, encompassing encrypted low-Earth-orbit satellite constellations, military-grade launch capacity, and an expanded Space Command. Austria plans to launch three military satellites next year, partly developed with Austrian startups, focusing on imaging, navigation, and ensuring communications independence, despite its constitutional neutrality. Luxembourg, with its expertise in SATcom and Earth observation, is eager to contribute, with a forthcoming cooperation deal with Austria on satellite use. Switzerland, acknowledging Europe's dependency on non-European space technology, sees its state-owned Beyond Gravity as a potential industrial contributor. This four-nation gathering, the first "DACH+L" format, signals a deepening of Central European defense ties and a collective ambition for greater independence from non-European technology providers in space. (Source: DefenseNews)

Our view: *This is interesting for two reasons: 1) it confirms Germany's ambitions in military space (€35bn budget to be allocated over 2026-2030), and 2) it points to Germany taking a lead in a regional military space command, which could have greater ambitions at European levels. It is interesting to see that both France and Italy*



are left out of this initiative, while they are among the three largest space spenders at the European level.

Airbus targets 10% cost cuts over global uncertainty and supply snags

Airbus has implemented a fresh 10% reduction in most non-industrial spending due to global uncertainty and persistent supply chain issues impacting its jetliner business, according to industry sources. This clampdown, which has been in effect for several weeks and builds on the "LEAD" cost-saving project launched in 2024, targets the planemaking division and headquarters activities, specifically aiming to curb the use of external contractors. The move, prompted by economic uncertainty and rising costs from the Iran war and trade tensions, comes as Airbus faces challenges such as ongoing disputes with engine maker Pratt & Whitney, integration issues with Spirit AeroSystems impacting A350 production, and a 16% drop in first-quarter aircraft deliveries, narrowing to 6% by April. Despite these headwinds, Airbus aims for around 870 deliveries this year, with analysts expressing skepticism about achieving this acceleration. (Source: Reuters)

Our view: *This is a new element to us. It is unclear which area of spend is exactly targeted but given Airbus sources a considerable part of its product from suppliers, the 10% reduction in non-industrial spending will have to be split across both internal and external cost centers. Of note, this does not mean, in our view, that Airbus commercial costs will all go down by 10%, but rather a small proportion of the cost pool. The initiative is however a positive and gains on credibility, given the successes on the LEAD programme.*

Italy turns away from Boeing to acquire six Airbus A330 MRTT tanker aircraft for €1.4 billion

The Italian Air Force has decided to acquire six Airbus A330 MRTT (Multi Role Tanker Transport) aerial refueling aircraft and associated logistical support for €1.4 billion. This decision comes after previous plans to acquire two more Boeing KC-767A aircraft and modernize four existing ones for €645 million, as well as a later proposal to buy six Boeing KC-46A "Pegasus" for €1.1 billion, were both suspended due to feasibility issues and the KC-46A's technical problems. Airbus Defence & Space was the sole bidder for this contract, which was finalized on April 16. The new A330 MRTTs, potentially including the more fuel-efficient A330neo-based MRTT+, will replace an unmet need for aerial refueling capabilities, and their acquisition might be financed through the European Union's SAFE financial instrument. (Source: Opex360)

Our view: *This is excellent news for Airbus, as the platform is seen as margin accretive and a more capable one than the US Pegasus one. It is a logical choice driven by operational considerations. Alongside the Eurofighter, the MRTT and MRTT+ should form the backbone of Airbus Defence future profitability improvements.*

Bangladesh 'evaluating' Airbus bid for 10 planes

Biman Bangladesh Airlines is evaluating a proposal to acquire 10 Airbus aircraft, including four A350-900 wide-body and six A321neo jets, following its recent agreement to purchase 14 Boeing planes. The Boeing deal, negotiated last year as part of a tariff agreement with the United States, involves the delivery of eight 787-10 Dreamliners, two 787-9 Dreamliners, and four 737-8 MAX jets over the next decade. Biman General Manager Bushra Islam indicated that a mixed fleet would optimize deployment based on demand and cost. (Source: Bloomberg)

Our view: *This could be a modest positive in terms of order intake potential for Airbus,*

but not an order that would move the needle in terms of investor sentiment.

BAE Systems (Hold, PT: 2,140p)

BAE Systems invests $135 million in facility upgrades to enhance U.S. military readiness

BAE Systems announced a $135 million capital investment for facility enhancements in Austin, Texas ($50 million) and Hudson, New Hampshire ($85 million), aimed at strengthening the U.S. defense industrial base and accelerating the delivery of critical systems and software for U.S. military readiness. The Hudson campus will see modernization and reconfiguration of 65,000 square feet of workspace to optimize workflow for advanced capabilities, while the Austin facility will undergo a manufacturing overhaul to scale infrastructure for affordable precision munitions, supporting end-to-end operations. (Source: Bloomberg)

Our view: *This is part of the company's CapEx plans to continue growing the US business to match the ramp-up in deliveries, so it's not a surprise, but rather a confirmation of responsible CapEx investment.*

UK prepares multibillion-pound boost for joint stealth jet project

According to sources, the UK government is preparing to invest an estimated £6 billion in the Global Combat Air Programme (GCAP) with Italy and Japan to finalize a long-term contract for the development of a next-generation stealth fighter jet. This funding addresses pressure from Japan regarding the UK's delayed financial commitment, which has been impacted by a reported £28 billion gap in the UK's defense budget and postponed investment plans. Despite these challenges, the joint venture "Edgewing," comprising BAE Systems (UK), Leonardo (Italy), and Japan Aircraft Industrial Enhancement Co. (JAIEC), secured a £686 million bridge funding contract in April 2026 to continue the project. The GCAP, which aims to deliver a supersonic jet by 2035, also involves Saudi Arabia in discussions with Italy having already approved nearly €9 billion in funding. (Source: Bloomberg)

Our view: *this points to a funding relief on the GCAP programme, which is a positive for BAE Systems and the consortium.*

Nato to press Europe's arms makers to boost investment and production

NATO Secretary-General Mark Rutte is set to pressure European arms companies next week to significantly increase investment and boost production, particularly in air defence and long-range missiles, ahead of the NATO summit in Ankara in July. This urgent push aims to strengthen Europe's military capabilities, address ammunition and long-distance missile shortages, and appease US President Donald Trump, who has demanded increased defence spending, with last year's NATO summit agreeing to a 5% GDP target. Rutte wants companies like Rheinmetall, Safran, Airbus, Saab, MBDA, and Leonardo to invest rapidly without awaiting new government orders, seeking to demonstrate industrial expansion and reduce Europe's reliance on the US, especially after developments like the US withdrawal of troops from Germany and the depletion of US munitions due to the Iran conflict. (Source: Bloomberg)

Our view: *This could end up adding some pressure to European defence manufacturers, with more public announcements on production rate increases. Yet, these industrial firms have not been sitting on their hands and have already proceeded with major rate increases, so the effort is ongoing. Governmental orders*



also need to keep pace with production rate increases, which is not a given.

Aeralis placed under court-ordered administration, blames UK Defence Investment Plan delay

Aeralis Limited, the British developer of a modular light jet aircraft touted as a potential Red Arrows replacement, has entered administration due to sustained cashflow pressure caused by ongoing delays to the UK Defence Investment Plan and geopolitical factors affecting funding. Aeralis had developed a modular light jet platform for military training, operational support, and aerobatic displays, accumulating significant intellectual property and digital engineering capabilities. This administration marks the most direct public consequence yet of the repeated delays in the Defence Investment Plan, which outlines the Ministry of Defence's funding priorities. (Source: UK Defence Journal)

Our view: *This shows the unfortunate consequence of delayed governmental orders on the financial solidity of some of these nascent defence startups, hence the need to sync governmental ambitions with industrial ramp-up. The read-across to the sector is that European defence firms may show more prudence in investing their own money before an order is committed.*

BAE Systems MDACS Signals Return of 155mm Artillery as New Shield Against Drone and Cruise Missile Saturation

BAE Systems has unveiled its Multi-Domain Artillery Cannon System (MDACS), a 155 mm cannon utilizing Hypervelocity Projectiles (HVP) to provide a mobile and potentially lower-cost solution against drone and cruise missile saturation attacks. This air-transportable system, designed to integrate with radar and battle-management networks, aims to engage various aerial threats, including drones, cruise missiles, helicopters, and aircraft, without exhausting expensive high-end missile interceptors. The MDACS is part of a U.S. Army effort to develop a new cannon-based air and missile defence capability, with a full prototype battery expected by the end of fiscal year 2027 and an operational demonstration in 2028. The system's primary advantage is its potential to address the cost-exchange problem in modern warfare, offering a deeper magazine and a lower cost per engagement compared to traditional missile interceptors, particularly relevant in the Indo-Pacific theater. While several questions regarding HVP accuracy, reload speed, and integration remain, MDACS represents a significant shift in air defense, potentially making heavy artillery a crucial counter-air weapon. (Source: Army Recognition)

Our view: *This can be read as a positive signal in terms of product development, as the US (through BAE and other artillery providers) needs to replenish its inventory of 155mm cannons.*

Dassault Aviation (Hold, PT: €330)

Airbus eyes two-aircraft FCAS solution amid wider programme reset

Airbus is pushing for a "partial reset" of the multi-billion-euro Future Combat Air System (FCAS) program, advocating for a two-aircraft solution for the New Generation Fighter (NGF) component instead of the current single-platform approach. This shift is driven by diverging national requirements, particularly France's need for a nuclear-capable, carrier-operable jet versus Germany and Spain's focus on air dominance, a compromise deemed increasingly unachievable given the current geopolitical climate. Airbus CEO Guillaume Faury noted that the

project, launched in "peace time" in 2017, was based on assumptions no longer valid post-2022 Ukraine war, necessitating a re-evaluation of specifications. While a two-aircraft solution might increase costs, Airbus believes it would be less complex than trying to integrate competing demands into one jet. However, this proposal faces potential opposition from Dassault Aviation, the NGF lead, and highlights ongoing industrial and political disagreements. Despite the deadlock on the NGF, other FCAS pillars, including combat cloud, adjunct fighters, sensors, and a new engine, are reportedly progressing well. The final decision on the program's direction rests with the governments involved, with Airbus exploring alternative partnerships if collaboration with Dassault remains challenging. (Source: FlightGlobal, Reuters)

Our view: *A two-fighter jet solution could be the compromise to keep the project alive, but that would mean that Europe as a whole would be developing three sixth-generation aircraft (versus two for the fourth generation), excluding the Saab offering.*

Exosens (Hold, PT: €60)

Exosens Doubles Production Capacity for Cooled Infrared Cameras to Meet Accelerating Demand in Long-Range Counter-drone systems

Exosens plans to double its production capacity for cooled infrared cameras in 2026. This expansion is driven by accelerating global demand for advanced digital imaging solutions, especially for long-range surveillance and counter-drone applications, where cooled infrared technology enables drone threat detection over tens of kilometers, day and night. Exosens' ITAR-free, French-manufactured cooled infrared imaging solutions are designed for integration into various platforms and are being adopted by defense contractors, OEMs, and autonomous systems developers to enhance operational readiness and European defense sovereignty. (Source: Company)

Our view: *This is positive news for Exosens. This is focused on the platform business at Exosens, which is the next major growth area for both Exosens and Theon. The doubling of capacity indicates the strength of demand in this end market for drones in Europe.*

Fincantieri (Buy, PT: €18.5)

Fincantieri and Teijin Automotive Technologies sign agreement to develop advanced composite bulkheads for maritime vessels

Fincantieri and Teijin Automotive Technologies, a European subsidiary of Japan's Teijin, have signed a Memorandum of Understanding to collaboratively engineer non-structural composite bulkheads for maritime vessels. Teijin Automotive Technologies will spearhead the engineering and industrialization, supported by Fincantieri, to introduce innovative composite solutions aimed at reducing weight and integrating functions. These bulkheads will utilize an innovative, non-combustible composite material patented by Aeronautical Service, an Italian SME with whom Fincantieri is already collaborating for carbon-based composites in shipbuilding. Pierroberto Folgiero, CEO of Fincantieri, highlighted the agreement's role in advancing shipbuilding with next-generation materials, enabling lighter vessels with enhanced performance and new design possibilities, particularly in the naval domain. (Source: Company)

Our view: *This is operationally a relevant move and could be positive in the long term for Fincantieri. Using composite materials for ship building is a key attempt in reducing the weight of the ship, as it allows for adding more equipment onboard Naval ships or operate economically for commercial ones. The non-combustible composite material used here is the key differentiator and could be slightly margin accretive in the long term, assuming pricing dynamics remains largely unchanged.*

Italy rethinks EU defense-financing aid as arms spending falls out of fashion

Italy is contemplating foregoing approximately €27 billion in EU-backed defense spending, prioritizing soaring energy costs. Prime Minister Giorgia Meloni has indicated to EU Commission chief Ursula von der Leyen that Italy might decline a €14.9 billion offer in cheap "SAFE loans" and also previously suggested not utilizing the National Escape Clause (NEC) scheme, which would have boosted defense spending by around €12 billion over three years. Meloni is now advocating for the NEC scheme to be applied to energy spending, arguing that addressing energy costs will strengthen the economy and, consequently, its defensive capabilities. She explicitly stated that if permission to alter the NEC scheme is not granted, Italy would consider abandoning its application for the SAFE loan. This potential reduction in defense spending comes as polling indicates unpopularity of arms purchases among Italian voters and amidst past efforts by Meloni to increase defense spending to NATO's five percent of GDP target. (Source: DefenseNews)

Our view: *This is not good news for Italian defence stocks in general. While the article sounds like an effort to push EU to accommodate for energy price inflation, this clearly enhances investor concerns that Europe in general will not be able to boost its defence spending and orders hoped by companies may not materialize. For Italian defence stocks aside from fiscal risk, political risk is an added concern.*

Greece approves acquisition of four Italian FREMM Bergamini frigates

The Greek Government Council for Foreign Affairs and Defense (KYSEA) approved the acquisition of four Italian FREMM Bergamini-class frigates, following months of negotiations and a bilateral cooperation agreement signed in September 2025. This decision aims to rapidly enhance the Hellenic Navy's high-end combat capabilities, particularly in anti-submarine warfare (ASW) and area air defense, to address critical gaps and rising maritime competition in the Eastern Mediterranean. The phased acquisition will initially involve two second-hand vessels, ITS Carlo Bergamini (a General Purpose variant) and ITS Virginio Fasan (an ASW variant equipped with CAPTAS-4 sonar and Aster missile capability), followed by an option for two more. These frigates will integrate into a standardized twelve-frigate fleet alongside four French FDI HN Belharra frigates and four upgraded German MEKO 200HN warships. The strategic move, estimated to cost between €500 million and €700 million for the first two frigates, seeks to optimize logistics, missile inventory, and operational doctrine, and will include industrial participation from Fincantieri for support and training. (Source: Army Recognition)

Our view: *This is positive news for Fincantieri, even though the deal to acquired four ships was announced in September 2025. The first two ships are set to be delivered by 2028 from the Italian Navy after modifications. Overall the value of four ships could be worth at least €1.2bn and order could be booked this year at Fincantieri.*

Hensoldt (Buy, PT: €101)

Germany to overhaul sprawling arms procurement agency

Germany is restructuring its defense procurement agency to enhance flexibility and responsiveness, aiming to accelerate the spending of billions of euros allocated for military modernization. This overhaul, driven by decades of underinvestment and the urgent need to rebuild its armed forces, seeks to streamline processes by emphasizing speed, innovative technologies, and collaboration with European partners. Defense Minister Boris Pistorius stressed the importance of efficiently deploying substantial funds in the coming years. The reforms include establishing project teams to work closely with research institutions, expanding the Bundeswehr Innovation Centre in Erding, and creating new innovation hubs focusing on naval and marine electronics in Kiel, space and naval industry in Bremen, and IT in Dresden. Additionally, a Brussels office will be set up for multinational and NATO coordination. The gradual implementation of these reforms over the coming months aims to avoid disrupting ongoing projects, while addressing concerns about potential waste without an updated procurement management system. (Source: Reuters)

Our view: *This reads as a positive for German defense procurement, as streamlined procurement agencies will be able to speed up order placements and work more efficiently. Such an approach was needed, and it is good news that the government is taking steps to align its procurement needs with its ability to place orders.*

Leonardo (Buy, PT: €70)

Leonardo Signs Major Naval Combat Systems Contract for Kuwait Navy's "Al Dorra" Program

Leonardo has secured a significant contract worth approximately €320 million with Abu Dhabi Ship Building (ADSB), the naval arm of EDGE Group, to supply next-generation naval combat systems for the Falaj 3 configuration of the Kuwait Navy's "Al Dorra" missile boat program. The deal is a crucial step towards establishing a future joint venture between Leonardo and EDGE Group, enhancing their ability to offer advanced "whole warship management" solutions globally. (Source: ASDNews)

Our view: *This confirms the good working relationship Leonardo has with the UAE and Middle Eastern clients in general, pointing to the company's ability to presumably capitalize on future rearmament needs in the region.*

Rolls-Royce (Buy, PT: 1,325p)

ATI outlines $41bn opportunity for UK aerospace as it unveils new technology roadmap

The UK's government-funded Aerospace Technology Institute (ATI) has released its "Engineering Growth" strategy, aiming to double the UK aerospace industry's market value to $18 billion by 2035, potentially reaching $41 billion by 2050. The strategy outlines four key investment areas: ultra-efficient technologies, zero-carbon technologies (e.g., hydrogen/battery-electric propulsion), industrial competitiveness, and non-CO2 effects. Near-term opportunities by mid-2030 include next-generation single-aisle aircraft and ultra-efficient regional turboprops, leveraging the UK's strengths in wings and engines. Longer-term goals beyond 2040 involve re-engining existing widebody jets and developing zero-carbon-emission aircraft. While the ATI has secured £2.3 billion in government funding until 2035, aiming for a total of £8 billion with industry match-funding by 2035, it



acknowledges a funding gap to achieve the $41 billion 2050 target. The strategy emphasizes pace, competitiveness, and the ability to scale production at the right price and quality, noting that while commercial aviation is the core focus, technologies with adjacent defense applications also strengthen investment arguments. (Source: FlightGlobal)

Our view: *this could be seen as supportive to Rolls-Royce efforts to develop an ultra fan narrowbody offering, with some government funding confirmed to be secured.*

Safran (Buy, PT: €365)

GE will introduce Leap-1B update this year to address cabin-smoke concern

GE Aerospace is currently seeking certification for a software update to the Boeing 737 Max's CFM International Leap-1B turbofan, aiming to mitigate cabin smoke risks during engine failures, with expected implementation this year. This modification stems from two 2025 incidents where bird strikes on Southwest Airlines 737 Max jets caused the Leap-1B's load reduction device (LRD) to activate. While LRD activation prevents further engine damage by separating the fan, it can also lead to oil entering the compressor, generating smoke that can then be drawn into the cabin or cockpit. The software fix, developed by GE and Boeing in response to NTSB recommendations, aims to minimize smoke by expediting valve closure. The FAA, Boeing, and EASA are collaborating on this update, which will be provided as a modification to in-service Leap-1Bs. The NTSB also suggested enhanced cockpit smoke training for pilots and urged regulators to assess similar risks in Leap-1A and Leap-1C engines, which also feature LRDs. Although the full fleet update timeline is unclear, a Department of Transportation report noted an FAA and Boeing agreement for completion by 2026, raising concerns about potential safety risks due to the duration. (Source: FlightGlobal)

Our view: *It is a positive that CFM has found a remediation to the engine smoke issue on CFM Leap-1B. This is a topic drawing a lot of media attention, but less so on the investment community side. Similar smoke incidents have been recorded on various other engine types in the US.*

Greece reconsiders its purchase of Patroller tactical drones from Safran

The French Military Planning Law (LPM) 2024-30 initially aimed to double the number of Patroller tactical drones for the Army from 14 to 28, but due to lessons from the Ukraine war and program issues with Safran Electronics & Defense, France has decided to cancel its order and launch a new program called ADAPT. This decision has significant implications for Greece, which ordered four Patroller drones for €55 million in 2023 through the NATO Support and Procurement Agency (NSPA). Greece is now re-evaluating its acquisition due to concerns about operational capabilities, long-term support, spare parts availability, and a lack of other international customers. Furthermore, the integration of the L16 tactical link, a necessary condition for Greece, remains problematic, and a strategic partnership between Safran and Baykar, a Turkish drone manufacturer whose products frequently violate Greek airspace, has also raised alarms in Athens. (Source: Opex360)

Our view: *Chances are the Patroller program may not be pursued, as Greece may become the sole operator of the platform. In the grand scheme of things, this is a slight negative for Safran, as investor attention is more focused on the Civil aftermarket.*

Thales (Hold, PT: €283)

Thales inks deal with Google for homegrown German cloud provider

Thales and Google Cloud have partnered to launch a new European cloud service in Germany. This service will operate independently from Google, both operationally and legally, addressing the EU's push for homegrown technology solutions and reduced reliance on foreign cloud providers. Thales will establish a new German entity, entirely staffed and managed within Germany, to fully own and control the dedicated cloud infrastructure. Designed to meet the digital sovereignty and regulatory needs of German public sector organizations, the service is currently in preview, with a general rollout anticipated by the end of 2026. The technology and operating model will mirror Thales's French cloud service, S3NS. (Source: Reuters)

Our view: *This is a structure that indeed mirrors the S3NS one in France and can be considered totally scalable and made country-specific. S3NS received all authorizations in France, which was considered a major breakthrough for a sovereign cloud. Thales is legitimate as a Defence & Security player in Germany, having a local footprint.*

Sweden picks France's FDI frigates in potential $4.2 billion deal

Sweden has selected France's Naval Group to supply four FDI frigates in a deal estimated to be worth approximately $4.2 billion, choosing it over proposals from Spain's Navantia and the UK's Babcock International. The frigates, costing over 10 billion Swedish kroner each depending on integrated equipment, will be armed with MBDA's Aster 30 missiles for long-range air defense and CAMM-ER medium-range air defense systems, significantly tripling Sweden's air-defense capabilities. The first frigate of the "Luleå class" is expected for delivery in 2030, with subsequent deliveries annually. Swedish Defence Minister Pål Jonson cited rapid delivery, an active production line ensuring reliability, and a proven integrated air-defense system as key factors, along with potential cost-sharing with France and Greece, who also operate FDI frigates. Negotiations with France and Naval Group will include stipulating the inclusion of Swedish components such as Saab's RBS-15 anti-ship missile and BAE Systems Bofors naval guns. (Source: DefenseNews)

Our view: *Despite the inclusion of Saab and BAE 's naval guns, the Thales content on the FDI sold to Sweden should exceed €100m in our view, hence a key positive for the stock. The Naval group win is also an achievement, as it was pitted against two solid competitors. It demonstrates the maturity of the FDI frigates and Naval's group ability to deliver faster than its peers.*

Thales appoints Jérémie Papin Senior Executive Vice-President, Finance and Information Systems

Thales has announced the appointment of Jérémie Papin, aged 52, as its new Senior Executive Vice-President, Finance and Information Systems, effective July 1, 2026. He will also become a member of the Thales Executive Committee, reporting to Chairman and CEO Patrice Caine. Papin, previously Chief Financial Officer and Executive Officer of Nissan Motors Ltd., will succeed Pascal Bouchiat, who is retiring. Papin's background includes extensive experience in finance, management control, M&A, tax, treasury, investor relations, and information systems from his roles at Nissan, Renault, and the Renault Nissan Alliance, as well as earlier positions in financial analysis at Deutsche Bank, Lehman Brothers, and Nomura Bank. (Source: Company)

Our view: *this is normal succession plan for the company, as Pascal Bouchiat was to*

retire at a given point in time.

The French Directorate General of Armaments (DGA) has ordered new radar signal sensor from the French company Eviden

In recent years, French Mirage 2000D aircraft have conducted missions in the Black Sea and Baltic regions to collect electromagnetic intelligence (ROEM) using the ASTAC pod, which detects radar signals to establish an electronic order of battle. With radar technology evolving, the ASTAC system is reaching its limits, making the upcoming deployment of three Falcon ARCHANGE reconnaissance aircraft and the data from three CERES satellites crucial. Meanwhile, the Direction générale de l'armement (DGA) has ordered ELIT AI, a new Electronic Intelligence (ELINT) sensor developed by Eviden (ATOS's "products branch") through its Avantix ROEM expertise center. ELIT AI, leveraging artificial intelligence and Software-Defined Radio (SDR) technologies, is designed to detect new, more complex radar waveforms in real-time, offering enhanced tactical situation awareness, faster identification of next-generation radar signals, and flexible integration into various platforms. This new sensor, which works with other Avantix products like the CARACAL radar signal database and the OSCAR analysis system, has been adopted by the DGA-MI, underscoring its advanced capabilities in intercepting and analyzing increasingly stealthy and sophisticated radar models. (Source: Opex360)

Our view: *this is relatively neutral to Thales in our view, as the solution chosen here meets some urgent operational requirements, hence the supplier chosen with regards to product avalaibiilty and time to market.*

South Africa court rules arms deal corruption trial involving ex-president Zuma and Thales must proceed

South Africa's KwaZulu-Natal High Court has ruled that the corruption trial involving former president Jacob Zuma and French defense group Thales must proceed, rejecting "Stop Stalingrad" applications aimed at delaying the proceedings. The case, which has spanned over two decades, centers on allegations that Thales agreed to pay bribes to Zuma for political protection related to defense contracts awarded during South Africa's multi-billion dollar post-apartheid arms procurement program in the late 1990s. Both Zuma and Thales deny any wrongdoing. Judge Nkosinathi Chili's ruling in Pietermaritzburg allows the National Prosecuting Authority to advance with the merits of the case, which includes charges of corruption, racketeering, fraud, and money laundering, despite ongoing interlocutory applications and repeated defense efforts to postpone the trial on technical grounds. (Source: Bloomberg)

Our view: *This is a long-dated case, which is unlikely to have much impact on the Thales equity story at this stage, especially as the current management team has no link to any of these allegations.*

TKMS (Buy, PT: €110)

TKMS, Elbit Sign Cooperation Pact Eyeing European Defense Market

Israel-based Elbit Systems and TKMS have signed a memorandum of understanding to establish a framework for cooperation on the development, integration, and commercialization of advanced naval defense solutions. This collaboration, led by Elbit's German subsidiary, aims to enhance technological capabilities and strengthen strategic ties between Germany and Israel. Potential areas of cooperation include electronic warfare, weapon stations, and electro-

optical payloads. TKMS CEO Oliver Burkhard stated this partnership advances technological capabilities and reinforces strategic ties, while Elbit Systems Deutschland CEO Marian Rachow emphasized that partnerships are a crucial step in the "make or buy" decision process and that the developed solutions could serve all European Armed Forces. This agreement follows the inauguration of a joint production line in Israel for submarine components in February. (Source: Bloomberg)

Our view: *This is neutral at this stage, but could be positive in the long term. The current MoU is intended with the aim of developing new Naval related electronics and digital solutions and products. TKMS strength lies in its hardcore engineering capability, while Elbit is highly capable on the digital / electronics front. This MoU is a larger co-operation compared to the agreement in February which established a local production facility in Israel for Submarine components.*

From our stable

Below, we share links to some of our most recent and important publications on individual companies and the sector, for ease of reference.

Our recent reports

CSG: Some relief, but risks persist (22 May 2026)

CSG: Q1 26 results - our first take (20 May 2026)

CSG: Q1 26 preview - soft start (14 May 2026)

European Defence: Some thoughts on current European defence valuation levels (12 May 2026)

Airbus: Feedback from roadshow with CFO (12 May 2026)

TKMS: Encouraging H1 26 results (12 May 2026)

Fincantieri: Post Q1 26 - Short term Naval weakness (12 May 2026)

Airbus: April 2026, a better month of deliveries (8 May 2026)

BAE Systems Plc: A solid Q1 trading statement (7 May 2026)

Renk AG: Q1-26 results: VMS main driver on order intake and EBIT (6 May 2026)

Leonardo: Q1-26 results: a beat on order intake, EBITA and FOCF (6 May 2026)

Hensoldt: Q1-26 results: a beat on order intake, FY26 guidance confirmed (6 May 2026)

Theon International: Q1 26 results - Good start (5 May 2026)

Flight quarters: Resilient Q1-26, but Middle East & MRO challenges loom in Q2 (5 May 2026)

CSG: Short seller report (4 May 2026)

Rolls-Royce: An upbeat Q1 IMS statement (30 April 2026)

MTU Aero Engines: Q1-26 results better on EBIT and FCF, FY26 guidance confirmed (30 April 2026)

Fincantieri: Q1 26 preview - Naval weakness (29 April 2026)

Airbus: A disappointing Q1, but an improved delivery outlook (29 April 2026)

TKMS: Capturing upside from F-128 (28 April 2026)

Sector/thematic reports

Aerospace and Defence: European A&D – 2026 outlook (13 January 2026)

European A&D – 2025 outlook (17 December 2024)

Flight quarters: Q1 24 – Back to the top (22 January 2024)

European A&D – 2024 outlook (8 December 2023)

European Defence: Lessons from Ukraine(12 April 2022)

Commercial Aerospace: No (jet)lag in competition (24 June 2021)

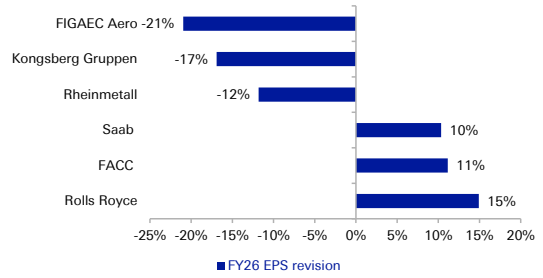
Aerospace & Defence: The Time is Now – Initiating on EU A&D with a constructive stance (10 February 2021)

EPS estimate revisions

EPS estimate revisions for European A&D stocks

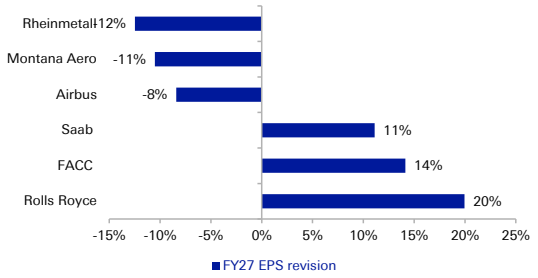
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the European Aerospace & Defence names since the start of 2026.

Figure 2: FY26E EPS change



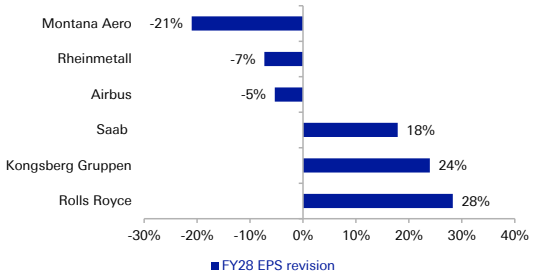
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 3: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 4: FY28E EPS change

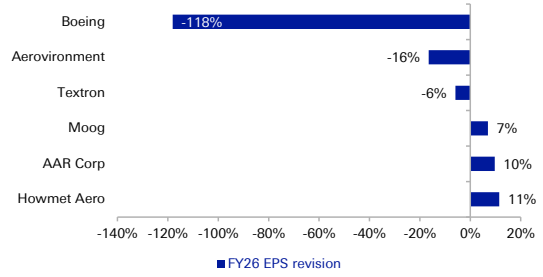


Source : Deutsche Bank, Bloomberg Finance LP

EPS estimate revisions for US A&D stocks

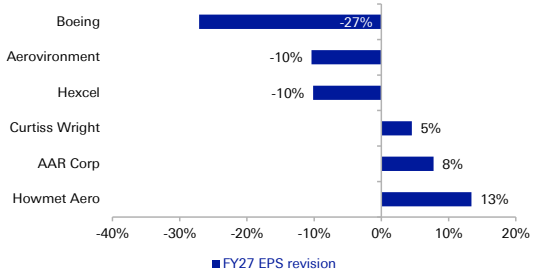
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the US Aerospace names since the start of 2026.

Figure 5: FY26E EPS change



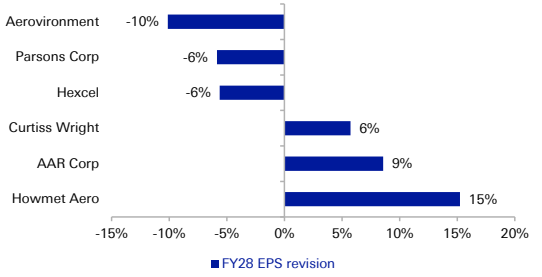
Source : Deutsche Bank, Bloomberg Finance LP

Figure 6: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 7: FY28E EPS change

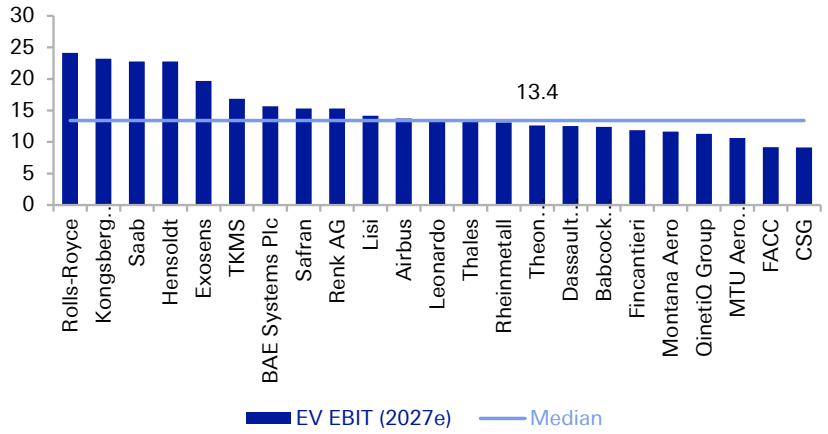


Source : Deutsche Bank, Bloomberg Finance LP

A&D stock trading multiples

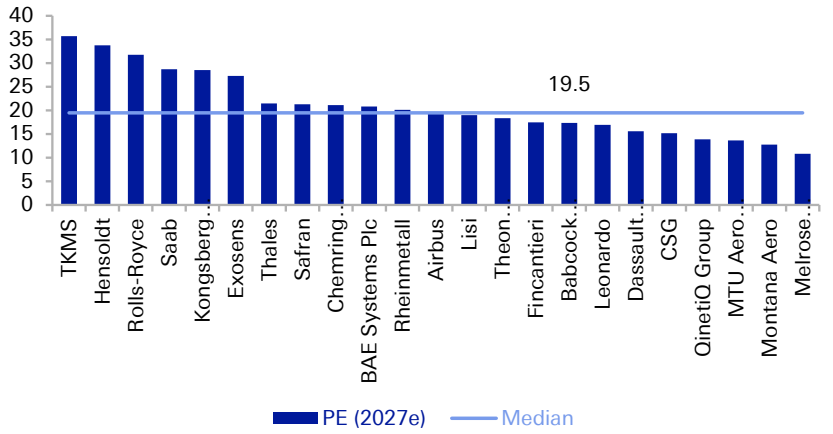
Europe A&D trading multiples

Figure 8: EV/EBIT multiples (FY27E)



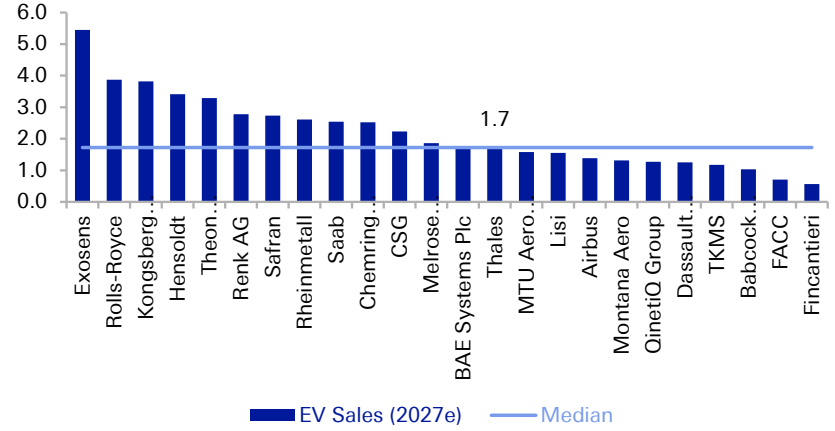
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 9: P/E multiples (FY27E)



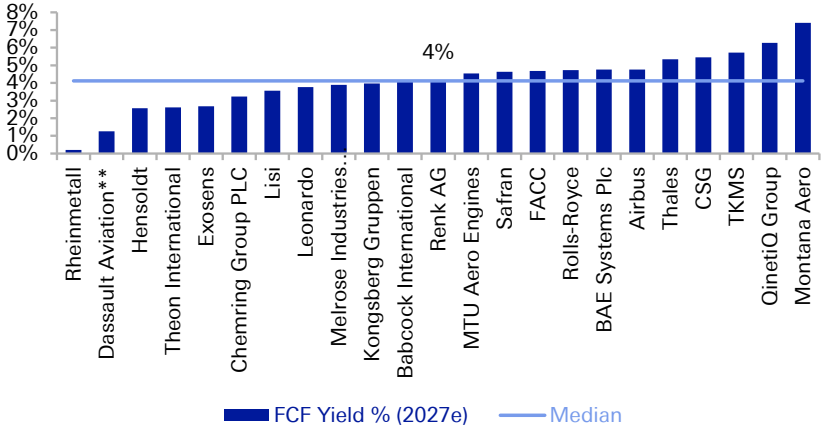
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 10: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

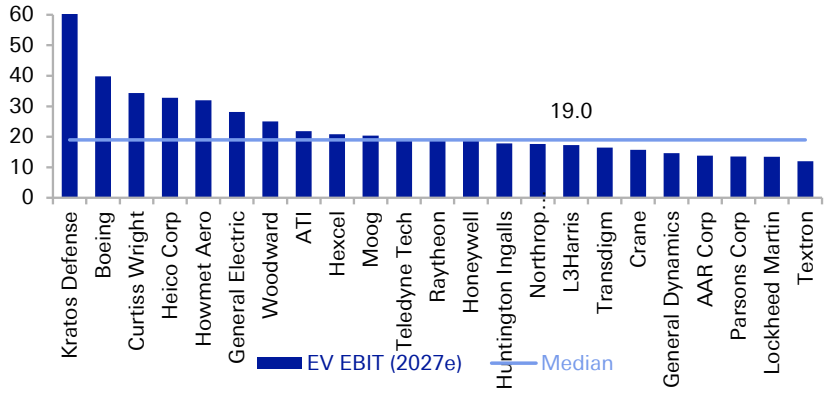
Figure 11: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

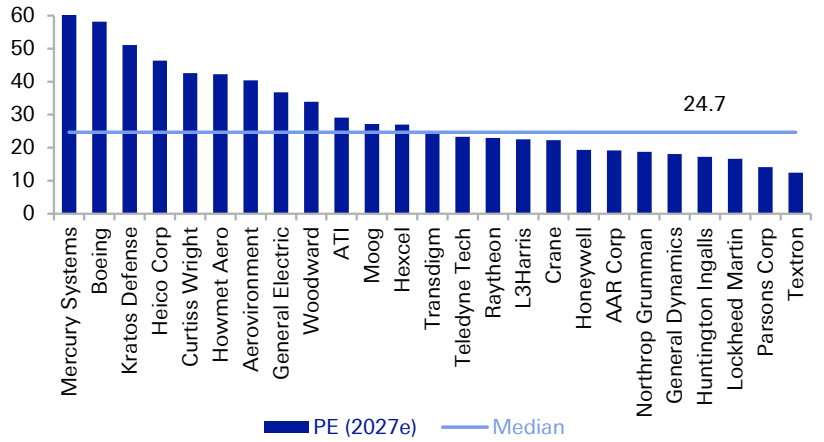
US A&D trading multiples

Figure 12: EV/EBIT multiples (FY27E)



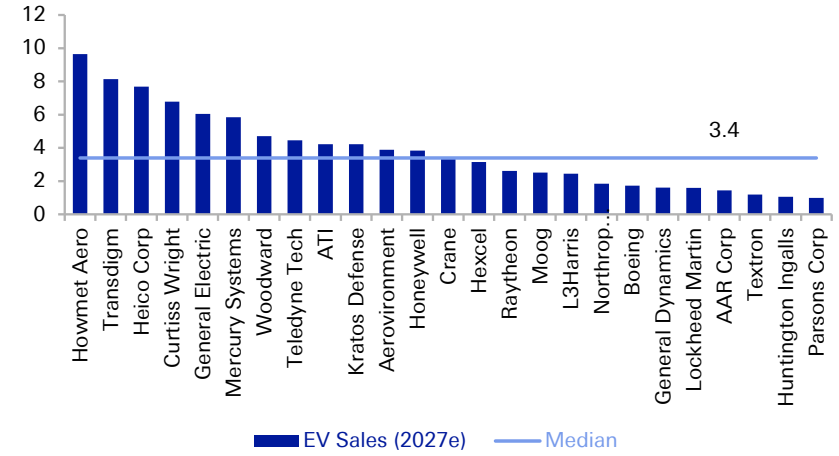
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 13: P/E multiples (FY27E)



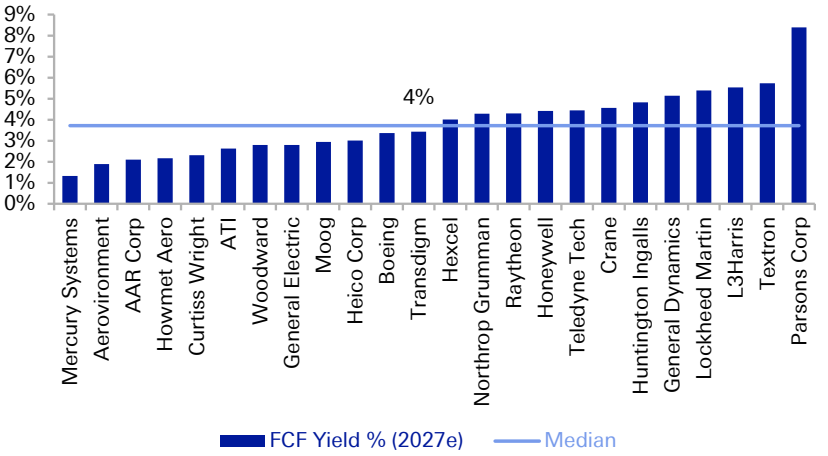
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 14: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

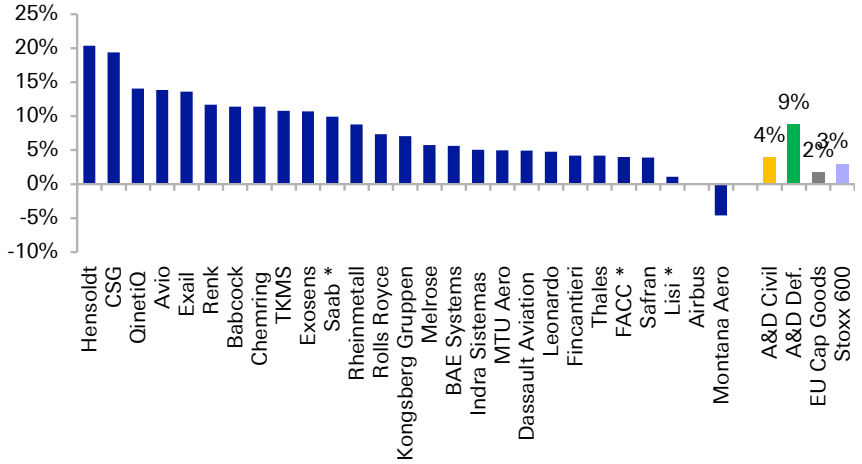
Figure 15: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

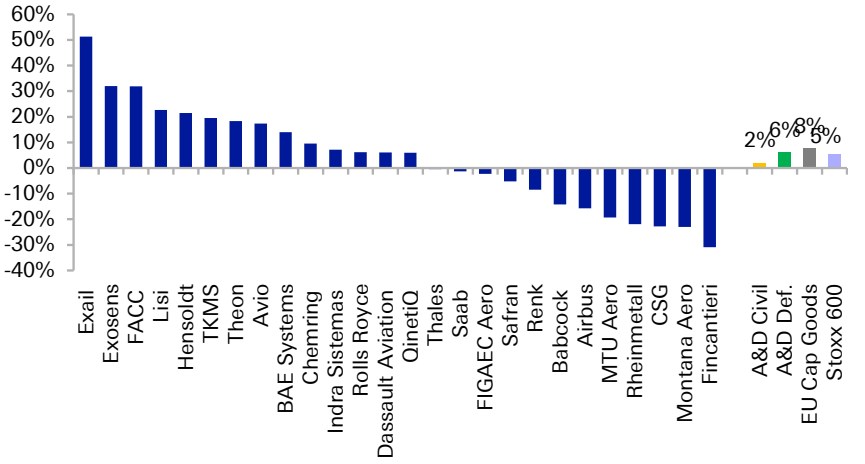
A&D share price performance

Figure 16: Europe A&D – last week's performance



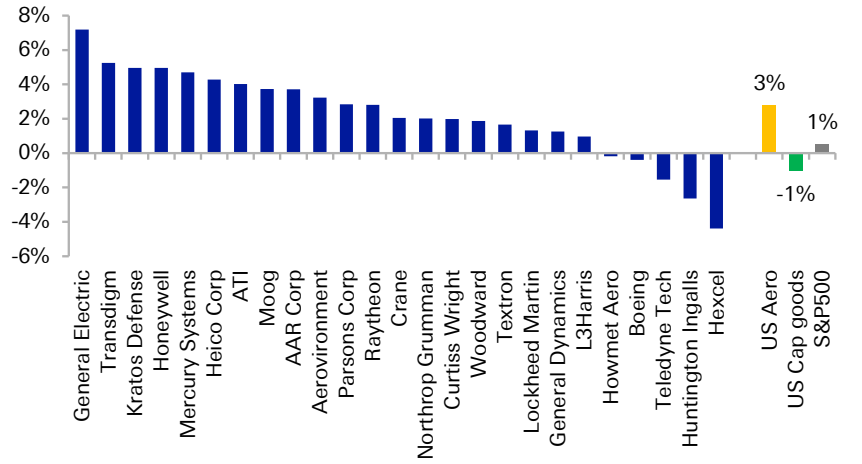
Source : Deutsche Bank, Bloomberg Finance LP

Figure 17: Europe A&D – YTD 2026 performance



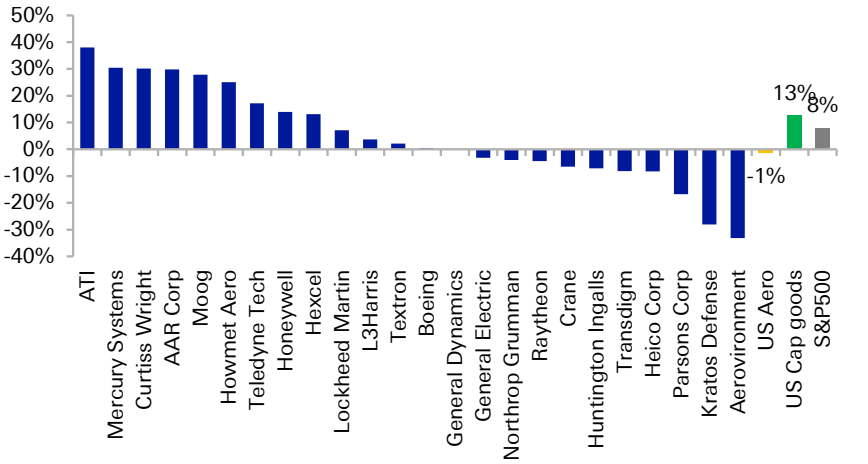
Source : Deutsche Bank, Bloomberg Finance LP

Figure 18: US A&D – last week's performance



Source : Deutsche Bank, Bloomberg Finance LP

Figure 19: US A&D – YTD 2026 performance



Source : Deutsche Bank, Bloomberg Finance LP

A&D sector valuation

Valuation table – listed major European A&D companies

Figure 20: European A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
22/May/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
Airbus	Christophe Menard	EUR	167.7	226.0	35%	Buy	9.6%	10.1%	11.1%	1.6	1.4	1.2	16.3	13.7	10.5	22.1	19.5	15.4	2.1%	2.4%	3.2%	3.5%	4.8%	6.1%	59%	70%	72%
Safran	Christophe Menard	EUR	282.0	365.0	29%	Buy	17.3%	17.9%	18.3%	3.1	2.7	2.5	18.0	15.3	13.7	27.7	21.3	19.1	1.6%	2.0%	2.3%	3.9%	4.6%	4.8%	73%	76%	72%
MTU Aero Engines	Christophe Menard	EUR	286.7	428.0	49%	Buy	14.4%	14.9%	15.3%	1.8	1.6	1.4	12.5	10.6	9.0	16.0	13.7	11.8	1.6%	2.2%	3.4%	3.4%	4.5%	5.7%	39%	45%	50%
Rolls-Royce	Christophe Menard	GBP	1,224.0	1,325.0	8%	Buy	15.4%	16.0%	16.4%	4.4	3.9	3.4	28.8	24.2	20.8	36.9	31.8	28.3	0.8%	0.9%	1.0%	3.8%	4.7%	5.0%	111%	122%	115%
Melrose Industries PLC	Richard Paige	GBP	502.6	570.0	13%	Hold	18.9%	20.5%	21.9%	2.0	1.9	1.7	10.8	9.1	7.7	13.1	10.8	9.1	1.7%	2.0%	2.3%	3.2%	3.9%	5.5%	27%	28%	34%
Lisi	*Not covered*	EUR	64.9	-	-	-	10.2%	11.0%	11.4%	1.7	1.6	1.4	16.6	14.2	12.5	23.2	19.0	16.7	1.0%	1.2%	1.3%	2.2%	3.6%	4.4%	34%	47%	51%
FACC	*Not covered*	EUR	15.1	-	-	-	6.0%	7.7%	8.2%	0.8	0.7	0.6	13.1	9.2	7.8	15.2	10.2	8.3	1.2%	2.0%	2.3%	5.0%	4.7%	6.4%	52%	34%	40%
Avio	*Not covered*	EUR	34.4	-	-	-	2.2%	2.2%	2.7%	1.7	1.5	1.3	78.8	69.6	49.6	129.5	127.6	105.0	0.3%	0.4%	0.4%				0%	0%	
Montana Aero	*Not covered*	CHF	21.8	-	-	-	9.1%	11.3%	11.4%	1.4	1.3	1.2	15.8	11.7	10.7	17.4	12.7	11.7	1.4%	2.3%	2.7%	3.1%	7.4%		44%	76%	
FIGAEC Aero	*Not covered*	EUR	10.6	-	-	-	6.8%	8.5%	10.0%	1.5	1.4	1.2	22.6	16.3	12.5	43.3	20.9	12.6		0.0%		0.3%	6.0%	8.5%	5%	62%	67%
Civil median							**9.4%**	**10.5%**	**11.4%**	**1.7**	**1.6**	**1.4**	**17.3**	**14.7**	**12.5**	**25.5**	**20.2**	**15.4**	**1.2%**	**1.6%**	**2.3%**	**3.5%**	**4.6%**	**5.6%**	**44%**	**47%**	**59%**
BAE Systems Plc	Christophe Menard	GBP	1,954.5	2,140.0	9%	Hold	10.8%	11.0%	11.1%	1.9	1.7	1.6	17.5	15.7	14.3	23.6	20.8	19.2	1.9%	2.2%	2.3%	3.8%	4.8%	5.1%	62%	71%	71%
Thales	Christophe Menard	EUR	228.6	283.0	24%	Hold	12.7%	13.0%	13.5%	1.9	1.7	1.5	15.2	13.2	11.1	26.2	21.4	18.1	1.9%	2.2%	2.5%	4.4%	5.3%	6.4%	69%	75%	79%
Dassault Aviation**	Christophe Menard	EUR	289.0	330.0	14%	Hold	9.3%	9.5%	9.9%	1.4	1.3	1.1	15.3	12.5	10.0	18.4	15.6	13.0	1.7%	1.8%	2.2%	2.2%	1.3%	1.6%	63%	30%	28%
Renk AG	Christophe Menard	EUR	49.1	73.0	49%	Buy	17.6%	18.1%	18.7%	3.3	2.8	2.3	18.6	15.3	12.5	27.2	21.7	17.4	1.7%	2.2%	2.8%	3.6%	4.1%	5.0%	64%	61%	61%
Rheinmetall	Christoph Laskawi	EUR	1,218.4	2,100.0	72%	Buy	19.0%	19.9%	20.6%	3.6	2.6	2.0	19.1	13.1	9.8	29.6	20.1	15.2	1.3%	1.9%	2.5%	6.9%	0.2%	2.9%	140%	3%	30%
Leonardo	Christophe Menard	EUR	51.3	70.0	36%	Buy	9.3%	10.3%	10.9%	1.5	1.4	1.2	16.6	13.4	11.2	20.9	16.9	14.3	1.5%	1.9%	2.3%	3.3%	3.8%	4.3%	48%	45%	44%
Hensoldt	Christophe Menard	EUR	89.2	101.0	13%	Buy	13.7%	15.0%	16.5%	4.0	3.4	2.8	29.4	22.8	17.1	48.0	33.8	24.1	0.8%	1.0%	1.4%	1.4%	2.6%	3.5%	38%	54%	56%
QinetiQ Group	Richard Paige	GBP	471.0	600.0	27%	Buy	11.3%	11.2%	11.3%	1.4	1.3	1.2	12.4	11.3	10.6	15.3	13.9	12.7	2.3%	2.5%	2.8%	6.4%	6.3%	7.7%	73%	70%	82%
Chemring Group PLC	Richard Paige	GBP	517.5	650.0	26%	Buy	14.8%	15.5%	16.1%	2.8	2.5	2.3	19.1	16.3	14.2	25.5	21.1	18.9	1.6%	1.9%	2.1%	0.0%	3.2%	4.9%	0%	47%	63%
Babcock International	James Beard	GBP	1,066.0	1,350.0	27%	Hold	8.1%	8.3%	8.7%	1.1	1.0	0.9	13.8	12.4	11.0	19.0	17.4	15.4	0.8%	0.9%	1.0%	3.6%	4.1%	4.9%	47%	49%	54%
Fincantieri	Sriram Krishnan, CFA	EUR	11.5	18.5	60%	Buy	4.3%	4.8%	5.3%	0.6	0.6	0.5	13.8	11.8	9.7	25.3	17.5	13.5	0.0%	1.1%	1.8%	-1.1%	-1.8%	2.2%	-12%	-16%	16%
Exosens	Sriram Krishnan, CFA	EUR	64.0	60.0	-6%	Hold	27.5%	27.7%	28.1%	6.3	5.5	4.5	22.9	19.7	16.1	31.7	27.3	22.4	0.6%	0.8%	1.0%	2.3%	2.7%	3.1%	50%	51%	49%
Theon International	Sriram Krishnan, CFA	EUR	31.4	39.0	24%	Buy	25.2%	26.0%	26.6%	4.0	3.3	2.7	15.9	12.6	10.1	22.4	18.4	14.7	1.1%	1.4%	1.7%	0.8%	2.6%	4.2%	13%	34%	46%
TKMS	Sriram Krishnan, CFA	EUR	79.0	110.0	39%	Buy	6.4%	7.0%	7.3%	1.5	1.2	0.8	23.1	16.9	11.4	45.4	35.7	27.1	0.0%	0.8%	1.3%	3.5%	5.7%	7.8%	119%	155%	161%
CSG	Sriram Krishnan, CFA	EUR	19.3	34.0	76%	Buy	24.1%	24.4%	25.0%	2.7	2.2	1.8	11.2	9.2	7.1	18.8	15.2	12.2	0.0%	2.0%	2.8%	5.1%	5.4%	7.3%	55%	50%	55%
Saab	*Not covered*	SEK	530.7	-	-	-	10.6%	11.1%	11.6%	3.0	2.5	2.2	28.6	22.8	18.8	36.4	28.7	23.4	0.6%	0.8%	1.0%	1.0%	1.6%	2.7%	27%	37%	50%
Kongsberg Gruppen	*Not covered*	NOK	312.9	-	-	-	15.4%	16.4%	17.1%	5.3	3.8	3.1	34.4	23.2	18.4	42.3	28.5	22.4	1.6%	2.3%	3.1%	2.4%	4.0%	5.4%	86%	97%	105%
Indra Sistemas	*Not covered*	EUR	52.1	-	-	-	10.5%	10.5%	11.0%	1.3	1.2	1.1	12.9	11.5	9.7	19.2	16.8	14.3	0.7%	0.8%	1.0%	4.3%	5.1%	6.3%	55%	59%	61%
Exail	*Not covered*	EUR	125.1	-	-	-	16.0%	18.6%	19.8%	3.9	3.1	2.6	24.4	16.6	13.3	72.6	31.3	23.9	0.0%	0.0%		2.6%	3.4%	4.6%	61%	53%	58%
Defence median							**12.0%**	**12.1%**	**12.6%**	**2.3**	**2.0**	**1.7**	**17.5**	**13.4**	**11.2**	**25.5**	**20.8**	**17.4**	**1.2%**	**1.8%**	**2.2%**	**3.0%**	**3.6%**	**4.7%**	**58%**	**51%**	**56%**
UK median							**11.3%**	**11.2%**	**11.3%**	**1.9**	**1.7**	**1.6**	**17.5**	**15.7**	**14.2**	**23.6**	**20.8**	**18.9**	**1.6%**	**1.9%**	**2.1%**	**3.7%**	**4.1%**	**5.0%**	**62%**	**49%**	**67%**
EU median							**10.5%**	**11.1%**	**11.6%**	**1.9**	**1.6**	**1.4**	**18.0**	**14.2**	**11.3**	**27.2**	**20.9**	**16.1**	**1.1%**	**1.6%**	**2.3%**	**2.9%**	**3.8%**	**4.6%**	**52%**	**50%**	**51%**
European A&D Sector median							**10.7%**	**11.2%**	**11.4%**	**1.8**	**1.6**	**1.5**	**17.5**	**14.2**	**11.3**	**25.5**	**20.8**	**16.1**	**1.2%**	**1.8%**	**2.3%**	**3.4%**	**4.0%**	**4.9%**	**55%**	**50%**	**56%**
European A&D Sector average / mean							**12.5%**	**13.3%**	**14.1%**	**2.6**	**2.2**	**1.7**	**23.5**	**18.6**	**13.5**	**35.9**	**27.3**	**20.0**	**1.1%**	**1.5%**	**2.0%**	**3.0%**	**3.6%**	**4.9%**	**53%**	**53%**	**61%**

uncovered stocks data is from Bloomberg
** Dassault EV excluding Thales value

*Source : Deutsche Bank Research , Bloomberg Finance LP for non-covered companies; *Based on closing prices as of 21 May 2026*



Valuation table – listed major US A&D companies

Figure 21: US A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
22/May/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
General Electric	Scott Deuschle	USD	302	367	22%	Buy	21.4%	21.5%	22.0%	6.7	6.0	5.5	31.1	28.2	24.9	40.2	36.8	32.2	0.6%	0.7%	0.8%	2.7%	2.8%	3.1%	82%	78%	75%
Raytheon	Scott Deuschle	USD	176	240	36%	Buy	13.0%	13.7%	14.2%	2.8	2.6	2.4	21.7	19.0	16.8	25.7	22.9	20.8	1.6%	1.7%	1.8%	3.6%	4.3%	5.0%	70%	74%	77%
Honeywell	Nicole DeBlase	USD	224	250	12%	Buy	19.7%	20.6%	24.0%	4.1	3.8	3.8	20.8	18.7	15.9	21.2	19.4	17.7	2.2%	2.3%	2.5%	3.7%	4.4%	4.9%	68%	72%	66%
Boeing	Scott Deuschle	USD	220	233	6%	Hold	0.4%	4.3%	6.7%	2.1	1.7	1.5	NM	39.8	22.2	NM	58.2	28.3	0.0%	0.1%	0.4%	1.6%	3.4%	6.3%	801%	121%	132%
Lockheed Martin	Scott Deuschle	USD	523	575	10%	Hold	12.0%	11.9%	11.7%	1.7	1.6	1.5	13.9	13.5	12.9	17.6	16.6	15.5	2.7%	2.8%	3.0%	5.6%	5.4%	5.8%	71%	66%	67%
General Dynamics	Scott Deuschle	USD	339	377	11%	Hold	10.6%	10.9%	11.0%	1.7	1.6	1.5	16.0	14.6	13.8	19.9	18.0	16.6	1.9%	2.0%	2.1%	4.9%	5.1%	5.5%	77%	74%	75%
Northrop Grumman	Scott Deuschle	USD	552	691	25%	Buy	10.6%	10.5%	10.6%	2.0	1.8	1.8	18.7	17.6	16.5	19.8	18.8	17.2	1.8%	1.9%	2.0%	4.2%	4.3%	4.5%	70%	68%	67%
Transdigm	Scott Deuschle	USD	1,209	1,350	12%	Hold	48.9%	49.5%	50.4%	9.3	8.1	7.5	18.9	16.5	14.8	29.8	24.7	21.5	8.3%	6.2%	6.6%	2.8%	3.4%	4.0%	37%	41%	44%
L3Harris	Scott Deuschle	USD	306	300	-2%	Hold	13.4%	14.1%	14.8%	2.7	2.4	2.2	20.4	17.3	14.9	26.4	22.6	19.6	1.6%	1.7%	1.8%	5.3%	5.5%	6.2%	97%	87%	86%
Howmet Aero	Scott Deuschle	USD	260	320	23%	Buy	29.5%	30.2%	31.9%	11.0	9.7	8.3	37.3	31.9	26.1	52.2	42.3	33.8	0.2%	0.2%	0.3%	1.9%	2.2%	2.7%	69%	68%	69%
Heico Corp	Scott Deuschle	USD	301	375	25%	Buy	22.9%	23.4%	24.2%	8.6	7.7	6.9	37.5	32.8	28.6	54.2	46.4	39.6	0.1%	0.1%	0.1%	2.6%	3.0%	3.4%	80%	82%	82%
Huntington Ingalls	Scott Deuschle	USD	318	298	-6%	Hold	5.4%	5.9%	6.1%	1.1	1.0	1.0	20.5	17.8	15.9	18.4	17.2	15.6	1.8%	1.8%	2.0%	4.3%	4.8%	5.6%	77%	75%	78%
Hexcel	Scott Deuschle	USD	85	79	-7%	Hold	12.9%	15.2%	16.7%	3.5	3.2	2.8	27.2	20.8	17.0	36.9	27.0	22.1	0.9%	0.9%	1.0%	3.1%	4.0%	4.7%	75%	76%	75%
Woodward	Scott Deuschle	USD	356	470	32%	Buy	18.1%	18.8%	20.0%	5.0	4.7	4.3	27.9	25.0	21.5	38.0	33.9	29.2	0.3%	0.4%	0.4%	1.6%	2.8%	3.3%	44%	68%	69%
Crane	Scott Deuschle	USD	175	222	27%	Buy	20.2%	21.6%	22.9%	3.7	3.4	3.1	18.4	15.7	13.4	25.7	22.3	19.5	0.6%	0.6%	0.7%	3.6%	4.6%	5.3%	64%	71%	74%
ATI	Scott Deuschle	USD	160	194	21%	Buy	17.6%	19.3%	20.4%	4.6	4.2	3.8	26.2	21.9	18.8	35.0	29.1	24.6				2.2%	2.6%	3.4%	55%	55%	62%
Teledyne Tech	*Not Covered*	USD	607	-	-	-	23.1%	23.2%	23.7%	4.7	4.4	4.2	20.3	19.2	17.8	25.2	23.3	21.6	0.0%	0.0%	0.0%	3.9%	4.4%	4.8%	74%	80%	79%
Textron	*Not Covered*	USD	90	-	-	-	9.4%	9.9%	10.2%	1.2	1.2	1.1	13.0	12.0	11.3	14.0	12.4	11.1	0.1%	0.1%	0.1%	4.5%	5.7%	7.2%	48%	56%	66%
Curtiss Wright	*Not Covered*	USD	727	-	-	-	19.2%	19.7%	20.2%	7.3	6.8	6.3	38.3	34.4	31.0	48.0	42.6	37.7	0.1%	0.1%	0.1%	2.2%	2.3%	2.6%	82%	77%	77%
Parsons Corp	*Not Covered*	USD	52	-	-	-	6.7%	7.3%	7.9%	1.1	1.0	0.9	15.8	13.5	12.0	15.7	14.2	12.9	0.0%	0.0%	0.0%	7.3%	8.4%	9.1%	91%	89%	86%
Moog	*Not Covered*	USD	315	-	-	-	12.0%	12.4%		2.7	2.5		22.2	20.4		29.7	27.2					2.0%	2.9%		39%	54%	
Aerovironment	*Not Covered*	USD	163	-	-	-	-11.2%	1.5%	4.7%	4.5	3.9	3.4	NM	NM	72.3	56.4	40.4	30.7				-0.1%	1.9%	3.0%	NM	467%	208%
Kratos Defense	*Not Covered*	USD	55	-	-	-	1.9%	4.9%	6.5%	5.2	4.2	3.6	NM	86.1	54.8	70.8	51.0	43.0				-0.9%	-0.3%	0.5%	NM	-31%	34%
AAR Corp	*Not Covered*	USD	108	-	-	-	10.1%	10.4%	10.9%	1.6	1.4	1.3	15.7	13.8	12.4	22.1	19.2	16.5				1.9%	2.1%	2.3%	24%	24%	24%
Mercury Systems	*Not Covered*	USD	96	-	-	-	0.2%	5.7%	9.6%	6.4	5.8	5.3	NM	NM	54.9	90.5	64.2	44.3				0.9%	1.3%	2.4%	NM	129%	124%
FTAI	Shannon Doherty	USD	246	335	36%	Buy	25.2%	32.2%	32.6%	7.8	4.6	3.7				20.2	12.6	11.0	0.7%	0.7%	0.7%	5.1%	7.7%	8.7%	142%	118%	98%
US A&D Sector median							**12.0%**	**12.4%**	**13.2%**	**3.7**	**3.4**	**3.2**	**20.5**	**19.0**	**16.9**	**26.4**	**24.0**	**21.5**	**0.6%**	**0.6%**	**0.7%**	**2.8%**	**3.4%**	**4.6%**	**70%**	**72%**	**75%**
US A&D Sector average / mean							**13.6%**	**15.3%**	**16.6%**	**4.2**	**3.8**	**3.5**	**22.6**	**24.0**	**23.6**	**34.9**	**30.0**	**24.5**	**1%**	**1%**	**1%**	**3.0%**	**3.7%**	**4.4%**	**102%**	**86%**	**79%**

*Source : Deutsche Bank Research, Bloomberg Finance LP; *Based on closing prices as of 21 May 2026*

Absolute and relative share price performance – European A&D stocks

Figure 22: European A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs Stoxx 600)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Airbus	EUR	168	0%	1%	-12%	-17%	4%	-16%	-24%	9%	-3%	-1%	-11%	-28%	-10%	-21%
Safran	EUR	282	4%	3%	-19%	-3%	8%	-5%	-20%	12%	1%	2%	-18%	-14%	-5%	-11%
MTU Aero	EUR	287	5%	-4%	-29%	-18%	-17%	-19%	-29%	8%	2%	-6%	-28%	-29%	-30%	-25%
Rolls Royce	GBP	1,224	7%	8%	-8%	18%	46%	6%	-14%	49%	4%	6%	-7%	7%	32%	1%
Melrose	GBP	503	6%	1%	-25%	-12%	11%	-14%	-26%	14%	3%	-1%	-24%	-23%	-3%	-20%
Lisi *	EUR	65	1%	11%	2%	34%	107%	23%	-5%	110%	-2%	9%	3%	23%	94%	17%
FACC *	EUR	15	4%	14%	25%	53%	119%	32%	-4%	140%	1%	12%	25%	42%	105%	26%
Avio	EUR	34	14%	-1%	-5%	169%	110%	17%	-34%	132%	11%	-3%	-4%	158%	96%	12%
Montana Aero	CHF	22	-5%	0%	-36%	-3%	12%	-23%	-38%	20%	-8%	-1%	-35%	-14%	-2%	-28%
FIGAEC Aero	EUR	11	-1%	10%	-4%	-9%	15%	-2%	-19%	19%	-4%	8%	-3%	-20%	2%	-8%
Civil median			**4%**	**2%**	**-7%**	**8%**	**31%**	**2%**	**-19%**	**35%**	**1%**	**0%**	**-6%**	**-4%**	**17%**	**-4%**
BAE Systems	GBP	1,955	6%	-8%	-10%	14%	6%	14%	-17%	23%	3%	-9%	-9%	3%	-7%	9%
Thales	EUR	229	4%	-6%	-14%	1%	-12%	0%	-18%	7%	1%	-7%	-13%	-10%	-25%	-6%
Dassault Aviation	EUR	289	5%	-5%	-18%	9%	-7%	6%	-20%	11%	2%	-7%	-17%	-2%	-21%	1%
Renk	EUR	49	12%	-11%	-19%	-2%	-31%	-9%	-46%	16%	9%	-13%	-18%	-14%	-44%	-14%
Rheinmetall	EUR	1,218	9%	-14%	-30%	-20%	-31%	-22%	-39%	11%	6%	-16%	-29%	-31%	-45%	-27%
Leonardo	EUR	51	5%	-6%	-13%	11%	0%	4%	-23%	19%	2%	-8%	-12%	0%	-13%	-1%
Hensoldt	EUR	89	20%	15%	6%	23%	11%	21%	-24%	38%	17%	13%	7%	12%	-3%	16%
Saab *	SEK	531	10%	-6%	-21%	11%	15%	-1%	-29%	24%	7%	-8%	-20%	-1%	1%	-7%
Kongsberg Gruppen	NOK	313	7%	0%	-6%	62%	8%	45%	-11%	66%	4%	-1%	-5%	51%	-5%	40%
QinetiQ	GBP	471	14%	1%	-9%	11%	0%	6%	-19%	18%	11%	0%	-8%	0%	-13%	1%
Babcock	GBP	1,066	11%	-11%	-25%	-7%	19%	-14%	-30%	22%	8%	-13%	-24%	-18%	6%	-20%
Chemring	GBP	518	11%	-5%	1%	6%	17%	10%	-16%	19%	8%	-7%	2%	-6%	4%	4%
Fincantieri	EUR	12	4%	-10%	-23%	-36%	-23%	-31%	-58%	7%	1%	-12%	-22%	-47%	-37%	-36%
Indra Sistemas	EUR	52	5%	-4%	-4%	16%	55%	7%	-21%	61%	2%	-5%	-3%	4%	42%	2%
Exosens	EUR	64	11%	-1%	4%	51%	58%	32%	-14%	77%	8%	-3%	5%	40%	44%	27%
Exail	EUR	125	14%	3%	2%	65%	110%	51%	-21%	120%	11%	1%	3%	53%	96%	46%
Theon	EUR	31	3%	-11%	-1%	23%	3%	18%	-15%	43%	0%	-13%	0%	12%	-11%	13%
TKMS	EUR	79	11%	-6%	-21%			20%	-26%	39%	8%	-8%	-20%			14%
CSG	EUR	19	19%	-5%	-38%			-23%	-46%	42%	16%	-7%				-28%
Defence median			**9%**	**-6%**	**-10%**	**11%**	**6%**	**6%**	**-21%**	**22%**	**6%**	**-7%**	**-9%**	**0%**	**-7%**	**1%**
UK median			**7%**	**0%**	**-9%**	**11%**	**17%**	**6%**	**-17%**	**22%**	**4%**	**-2%**	**-8%**	**0%**	**4%**	**1%**
EU median			**5%**	**-1%**	**-9%**	**11%**	**10%**	**5%**	**-21%**	**22%**	**2%**	**-3%**	**-8%**	**0%**	**-4%**	**0%**
European A&D Sector median			**6%**	**0%**	**-11%**	**10%**	**11%**	**5%**	**-20%**	**20%**	**3%**	**-2%**	**-10%**	**-2%**	**-3%**	**0%**
European A&D Sector average / mean			**8%**	**4%**	**-5%**	**39%**	**55%**	**22%**	**-22%**	**74%**	**5%**	**2%**	**-4%**	**28%**	**41%**	**17%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 21 May 2026*

Absolute and relative share price performance – US A&D stocks

Figure 23: US A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs S&P 500)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Boeing	USD	220	0%	-5%	-5%	22%	8%	1%	-14%	24%	-1%	-9%	-13%	9%	-19%	-7%
Honeywell	USD	224	5%	2%	-8%	18%	0%	14%	-10%	20%	4%	-3%	-16%	5%	-27%	6%
General Electric	USD	302	7%	9%	-12%	5%	31%	-3%	-13%	32%	7%	5%	-20%	-8%	4%	-11%
Raytheon	USD	176	3%	-3%	-14%	4%	31%	-4%	-18%	34%	2%	-7%	-22%	-9%	4%	-12%
Transdigm	USD	1209	5%	2%	-10%	-10%	-14%	-8%	-20%	8%	5%	-2%	-17%	-23%	-41%	-16%
Heico Corp	USD	301	4%	12%	-14%	-1%	13%	-8%	-17%	18%	4%	8%	-22%	-13%	-15%	-16%
Teledyne Tech	USD	607	-2%	-8%	-9%	23%	24%	17%	-12%	26%	-2%	-12%	-17%	10%	-3%	9%
Howmet Aero	USD	260	0%	8%	1%	32%	59%	25%	-7%	62%	-1%	4%	-7%	19%	32%	17%
Textron	USD	90	2%	1%	-10%	11%	23%	2%	-11%	25%	1%	-3%	-18%	-2%	-5%	-6%
Curtiss Wright	USD	727	2%	2%	3%	36%	75%	30%	-4%	76%	1%	-2%	-5%	23%	47%	22%
Hexcel	USD	85	-4%	-3%	-6%	17%	63%	13%	-14%	68%	-5%	-7%	-14%	4%	35%	5%
Parsons Corp	USD	52	3%	-3%	-21%	-37%	-24%	-17%	-42%	7%	2%	-8%	-29%	-49%	-51%	-25%
Mercury Systems	USD	96	5%	17%	10%	45%	105%	30%	-7%	110%	4%	12%	2%	32%	78%	23%
Moog	USD	315	4%	6%	-9%	47%	74%	28%	-11%	84%	3%	2%	-16%	34%	47%	20%
AAR Corp	USD	108	4%	-3%	-7%	40%	80%	30%	-15%	84%	3%	-7%	-15%	27%	53%	22%
Woodward	USD	356	2%	-3%	-10%	35%	73%	17%	-13%	74%	1%	-7%	-17%	23%	45%	9%
Crane	USD	175	2%	-2%	-14%	-2%	3%	-6%	-18%	10%	2%	-7%	-21%	-15%	-25%	-14%
ATI	USD	160	4%	5%	1%	66%	113%	38%	-6%	128%	4%	0%	-7%	54%	86%	30%
Civil median			**3%**	**1%**	**-9%**	**20%**	**31%**	**14%**	**-13%**	**33%**	**2%**	**-3%**	**-17%**	**7%**	**4%**	**6%**
Lockheed Martin	USD	523	1%	-6%	-21%	13%	11%	7%	-24%	27%	1%	-10%	-28%	1%	-16%	-1%
General Dynamics	USD	339	1%	6%	-4%	0%	22%	0%	-8%	26%	1%	1%	-11%	-13%	-5%	-8%
Northrop Grumman	USD	552	2%	-6%	-24%	-3%	17%	-4%	-29%	18%	2%	-11%	-32%	-15%	-11%	-12%
L3Harris	USD	306	1%	-8%	-14%	10%	28%	4%	-19%	32%	0%	-12%	-22%	-2%	1%	-4%
Huntington Ingalls	USD	318	-3%	-13%	-27%	4%	41%	-7%	-31%	48%	-3%	-18%	-35%	-9%	14%	-15%
Kratos Defense	USD	55	5%	-20%	-43%	-21%	55%	-28%	-59%	60%	4%	-25%	-51%	-34%	28%	-36%
Aerovironment	USD	163	3%	-22%	-38%	-40%	-3%	-33%	-61%	5%	3%	-27%	-46%	-53%	-30%	-41%
Defence median			**1%**	**-8%**	**-24%**	**0%**	**22%**	**-4%**	**-29%**	**27%**	**1%**	**-12%**	**-32%**	**-13%**	**-5%**	**-12%**
US A&D Sector median			**3%**	**1%**	**-9%**	**20%**	**31%**	**14%**	**-13%**	**33%**	**2%**	**-3%**	**-17%**	**7%**	**4%**	**6%**
US A&D Sector average / mean			**2%**	**2%**	**-8%**	**19%**	**41%**	**11%**	**-14%**	**50%**	**2%**	**-2%**	**-15%**	**7%**	**14%**	**3%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 21 May 2026*

Appendix 1

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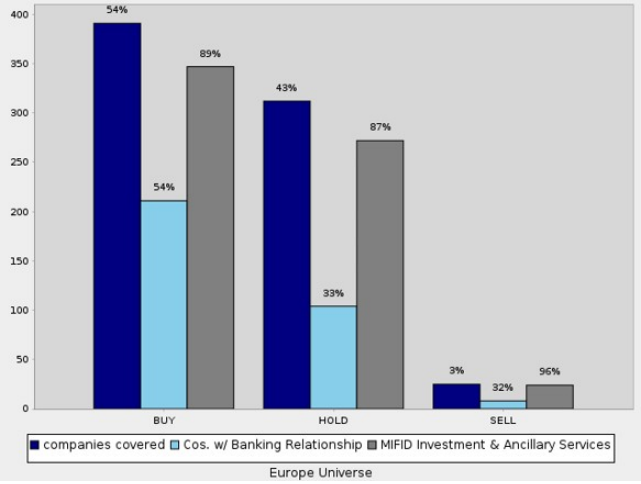
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Equity rating dispersion and banking relationships



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